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US Economic Update: September 21, 2026

Current state of the real economy	
Current state of financial markets	
Current state of inflation	

Atlanta Fed GDP growth forecasts for Q3 2026 (%)	17-Sep-26	16-Sep-26	11-Sep-26	10-Sep-26	4-Sep-26	3-Sep-26
	5.1	5.1	4.6	4.4	4.6	4.7

FOMC raises rates for the first time in three years

- The Federal Open Market Committee (FOMC) raised the federal funds rate by 25 basis points to a range of 3.75%–4% in September, its first rate hike in three years. The committee noted that economic activity has been expanding at a healthy pace, supported by AI-driven business investment, productivity gains, and consumer spending. It also observed that the labor market is resilient with job gains outpacing growth in labor supply. The FOMC, however, reiterated its commitment to its inflation-targeting mandate. It noted an uptick in inflation expectations and hence, unanimously decided to raise the federal funds rate.

  The FOMC's quarterly projections indicate that September's hike may not be the only one this year. The median view is of two rate hikes in 2026, worth a total of 50 basis points. It expects inflation—both headline and core inflation—to be higher this year than what it had estimated a quarter back, with unemployment remaining relatively low at 4.1%. The committee also upgraded its median projection for GDP growth in 2026 to 2.3% from 2.2% a quarter back.
- Nominal retail sales (including food services) rose 1.2% in August, reversing from a 0.5% decline in July. Higher gas prices boosted sales at gasoline stations by 3.1% in August. Sales also increased at a strong pace at nonstore retailers (2.6%), miscellaneous store retailers (1.9%), and electronics and appliance stores (1.6%). Compared to a year ago, total retail sales were up 6% in August. Rising inflation has been a key driver of nominal retail sales growth this year with volume growth also playing a role.
- Housing starts fell 2.6% in August to a seasonally adjusted annual rate of 1.27 million units. Starts for multi-family homes declined by 21.7% in August, while single-family starts rose by 7.6% during the month. Compared to a year ago, total starts were 1.2% lower in August. Building permits, an indicator of future housing starts, fell 2.7% in August after increasing by 4.3% in July. Permits were up 3.5% in August compared to a year ago. Overall, trends in housing starts and building permits indicate that the housing market remains subdued with elevated mortgage rates weighing on housing affordability, and hence, demand.
- Manufacturing output fell 0.2% in August, following a 0.2% gain in July. Total industrial production, however, was flat, as gains in utilities (1.8%) and mining (0.1%) output offset the dip in manufacturing during the month.

Figure 1. In its median view, the FOMC signaled the possibility of another rate hike in 2026 amid inflation risks

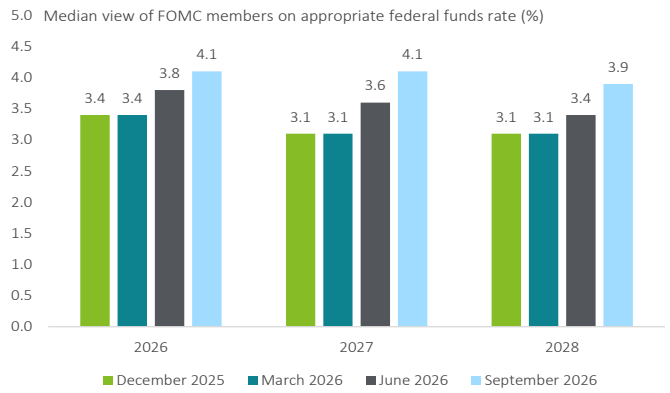


Figure 2. Housing starts and building permits fell in August, as elevated mortgage rates continue to weigh on demand for housing



Sources: Haver Analytics; Deloitte analysis.

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Dashboard of key indicators

Real economy

Total nonfarm payrolls			
Aug change	3-month avg ch	12-month avg ch	Trend
162,000	71,000	50,000	

Unemployment rate			
Aug value (%)	1-month ch (ppts)	3-month ch (ppts)	Trend
4.1	0.0	-0.2	

Real disposable personal income			
Jul growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.4	0.9	0.5	

Real personal consumer expenditure			
Jul growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.0	0.8	2.1	

Nominal retail sales			
Aug growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
1.2	1.0	6.0	

Conference Board consumer confidence index			
Aug value	1-month ch	3-month ch	Trend
89.4	-0.8	-1.2	

Housing permits			
Aug growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-2.7	-1.1	3.5	

Manufacturing industrial production			
Aug growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.2	0.1	0.9	

Shipments of core capital goods			
Jul growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
1.2	3.8	10.4	

Trade balance			
Jul value (US$ billion)	1-month ch	3-month ch	Trend
-88.6	-17.4	-35.7	

Real GDP			
Q2 2026 (%, QoQ, SAAR)	Q1 2026	1-year ch (%)	Trend
1.5	2.1	2.1	

Corporate profits			
Q2 2026 (%, QoQ, SAAR)	Q1 2026	1-year ch (%)	Trend
41.5	7.0	22.8	

Financial markets

Equity markets			
S&P 500 on Sep 18	1-week ch (%)	1-year ch (%)	Trend
7650.5	-0.1	14.8	

Treasury yield spread (10 yr - 2 yr)			
Spread on Sep 18	1-month ch(ppts)	3-month ch(ppts)	Trend
0.25	-0.27	0.0	

CBOE volatility index (VIX)			
VIX on Sep 18	1-week ch	4-week ch	Trend
14.8	-1.0	-1.2	

Kansas City Fed financial stress index (KCFSI)			
Aug index	1-month ch	3-month ch	Trend
-1.0	-0.1	-0.1	

Inflation

Consumer price index (CPI)			
Aug change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.4	0.0	3.4	

Core CPI (CPI excluding food and energy)			
Aug change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	0.5	2.4	

Core PCE (PCE price index excluding food and energy)			
Jul change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.2	0.8	3.3	

Philadelphia Fed 10-year ahead inflation expectations			
Q3 2026 (%, YoY)	Q2 2026	Q3 2025	Trend
2.3	2.4	2.3	

Sources: Haver Analytics; Deloitte analysis.